BERNSTEIN
SOCIETE GENERALE GROUP

26 October 2026


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Global Aerospace & Defense

Northrop Grumman Corp

Rating

Market-Perform

Price Target

NOC **590.00 USD** (556.00 *OLD*)

Northrop Grumman: Raising Target to $590 - Stronger top line performance outlook; Overhang of budget remains

We update our outlook for Northrop Grumman after Q3 reporting. We raise our price target to $590 (from $556), based on higher growth assumptions for Aeronautics and Defense. For Aeronautics we increase our outlook from 2027 through 2030, which includes a higher growth assumption for B-21 and more F-35 revenue from mods and sustainment. For Defense Systems, we increase our top line outlook, primarily on higher growth in weapons (primarily solid rocket motor growth) and for Sentinel. Backlogs were up 5% sequentially and 20% over the last 12 months. Aeronautics and Defense drove most of the backlog's growth with respective backlog up 9.1% and 5.2% in Q3. Our Mission Systems outlook is also more positive, with a large increase in total (and funded) backlog that could provide still more upside. Space Systems is emerging from prior headwinds. We expect mid-single digit growth going forward.

We continue to see NOC as well-positioned for long-term defense. In the near to medium term, two of its largest programs, B-21 and Sentinel (both cost-plus development), will put downward pressure on margins. Ultimately, however, we expect each to be $100bn programs with substantial value creation. The very large backlogs have two challenges. First, budget problems in Congress have created high uncertainty around funding of many programs, particularly those funded by reconciliation (many missile programs). With the Pentagon working through long-term frameworks on munitions, we still do not know how funding will play out. The challenges are compounded by next Tuesday's US midterm election. The second challenge is simply capacity growth. Across many program, particularly weapons, the entire network of suppliers has move forward signfiicantly to take rates up. On the other side, we have seen heightened volatility around AI-oriented stocks, which has led to some flight to defensive stocks, of which NOC is one.

Investment Implications

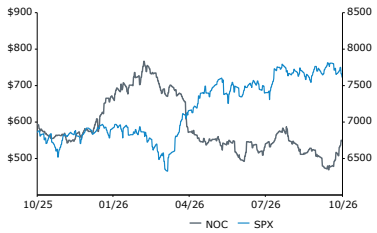
We rate NOC Market-Perform. We increase our price target to $590 (from $556), driven by higher growth of Aeronautics, Defense Systems, and Mission Systems. Our relative EV/EBITDAP multiple remains 80% (absolute 12.8x).

Close Date	26 Oct 2026
NOC Close Price (USD)	565.41
Price Target (USD)	590.00
Upside/(Downside)	4%
52-Week Range	774.00/470.06
SPX	7,623.68
FYE	Dec
Div Yield	1.7%
Market Cap (USD) (M)	80,325
EV (USD) (M)	93,980

Performance	YTD	1M	6M	12M
Absolute (%)	(0.8)	10.8	(1.7)	(6.6)
SPX (%)	11.4	(1.1)	7.2	13.1
Relative (%)	(12.2)	11.8	(8.9)	(19.8)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E
NOC (USD)	29.08	**29.86**	**30.54**
OLD	--	29.05	30.67

Financials	F25A	F26E	F27E	CAGR
EBIT (M)	4,511	4,691	5,006	--
FCF (M)	3,063	3,226	3,676	--

Valuation Metrics	25A	26E	27E
EV/EBITDA (x)	15.7	15.2	14.2
Adjusted P/E (x)	21.5	18.9	18.5

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

Q1 RESULTS AND OUR UPDATE

We remain at Market-Perform and maintain our relative EV/EBITDAP multiple to 80% of the S&P500 (12.8X absolute). We increase our price target to $590 (from $556).

Northrop Grumman (NOC) Q3 adj diluted EPS of $7.89 beat consensus of $7.16. Revenues of $11.1bn were in line with consensus. For results and comparison, see Exhibit 1.

Our 2026 EPS estimate is raised to $29.86 from $29.05, driven by increased margins at Aeronautics, Defense, and Missions Systems for 4Q26 and lower effective tax rate. For 2027, our EPS estimate moves to $30.54 from $30.67, as a result of lower below the line items offsetting higher Aeronautics and Defense revenue.

EXHIBIT 1: **Reported results vs Bernstein, consensus and guidance**

NOC	Q3	Revenues ($bn) - Full Year			Q3	Adj. EPS - Full Year		
	2026	2025	2026E	2027E	2026	2025	2026E	2027E
Reported	11.1	42.0			7.89	26.34		
Consensus	11.1		44.1	46.9	7.16		28.95	30.19
Bernstein	11.2		44.4	47.1	7.23		29.05	30.67
Bernstein (post)			44.4	47.5			29.86	30.54
Guidance			$43.75 - $44.25				$29.35 - $29.75	

Source: Company reports, Bloomberg, Bernstein analysis and estimates

At the segment level, revenues at Aeronautics and Defense were above consensus, while Mission Systems and Space Systems were below. Revenues at Aeronautics came in at $3.58bn, up 14% YoY, above consensus of $3.47bn, primarily due to a $195m increase on F-35 driven by the timing of material costs on production lots and higher sustainment level. Higher B-21 sales and increase in B-2 sustainment level also contributed to this beat. Revenues at Defense Systems increased 12% YoY, due to a $180m increase on Sentinel, higher volume on GMLRS ER and higher volume of solid rocket motors. Missions Systems revenues increased 2% due to higher volume on marine systems programs and volume on restricted airborne radar programs. Space Systems increased 2%, due to ramp up of programs in the restricted space portfolio, offset by $136 million of lower sales on CRS missions due to launch timing.

At the margin level, all segments were above consensus, except Defense Systems, which was in line. Defense Systems operating margin was 10.8%, down -60bps YoY primarily due to changes in contract mix toward more cost type programs. Aeronautics Systems margin was 10.5%, above consensus of 9.6%. Mission Systems margin was 15.8%, above consensus. Space Systems operating margin was 11.3%, roughly in line with our 11.2% estimate.

Q3 2026 backlog totaled $109.6bn. TTM book-to-bill was 142% in Q3, while quarterly book-to-bill was 144%.

EXHIBIT 2: **Segment results**

	Revenues			Margins				Book to Bill	
Segment	**Reported**	**Bernstein**	**Year ago**	**Reported**	**Bernstein**	**Last Q**	**Year ago**	**Quarter**	**TTM**
Aeronautics Systems	3,575	3,393	3,142	10.5%	10.0%	10.3%	9.7%	162%	
Defense Systems	2,307	2,277	2,059	10.8%	10.1%	7.5%	11.4%	178%	
Mission Systems	3,155	3,214	3,093	15.8%	14.8%	15.4%	16.7%	148%	114%
Space Systems	2,749	2,887	2,698	11.3%	11.2%	8.6%	11.0%	77%	
Operating	**11,122**	**11,171**	**10,423**	**11.4%**	**10.8%**	**10.1%**	**11.9%**	144%	142%

Source: Company reports, Bernstein analysis and estimates

2026 segment operating income guidance was raised from $4,850-$5,000 to a range of $4,940 $5,040, driven by the beat at Q3 (vs. consensus at $4,625). NOC also raised its EPS guidance from $28.60-$29.10 to a range of $29.35-$29.75, driven by the beat at Q3.

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EXHIBIT 3: **2026 Guidance**

After 2026Q3, for 2026	Current	Previous	Change
Sales ($M)		$43,750 — $44,250	
Segment Op Income ($M)	$4,940 — $5,040	$4,850 — $5,000	Guided higher
Intersegment Eliminations($B)		~($2,700)	
Net FAS/CAS pension adj. ($M)		~$700	
Unalloc. Corp. expense ($M)		~$(345)	
Op Income ($M)		$4,540 — $4,690	
Interest expense ($M)		~$(620)	
Effective tax rate		Low to Mid 17%	
Weighted avg. dil. shares o/s		Mid 142	
MTM Adj. EPS	$29.35 — $29.75	$28.60 — $29.10	Guided higher
Capex ($M)		~$1,850	
FCF ($M)		$3,100 — $3,500	

Source: Company reports, Bernstein estimates and analysis

INSULATED FROM APPROPRIATION UNCERTAINTY?

As we highlighted in our note on the U.S. defense budget (see *US defense: "This Mess We're In" - Desires and Dysfunction in the Pentagon and Congress; When can you buy these stocks?*), the budget process has become a significant overhang for the U.S. defense sector, contributing to depressed valuation multiples across the group. We are currently operating under a Continuing Resolution. No appropriations bills have been passed by eithr the Senate or the House. The House bill has gone through committee, but not to the full house. That bill only funds the part of the President's budget in appropriations, which is $1.1 trillion. The remaining $355 bn is in reconciliation, where there has been no progress. Secretary Hegseth has said the President's $1.5 tn budget must be passed "come hell or high water" (see, "*Global Defense: AUSA - Autonomy, budgets, policy; You say you want a revolution? Well you know ....*"). We believe that is very unlikely to happen.

During the Q3 earnings call, NOC provided a detailed breakdown of its exposure to major programs and their funding status (Exhibit 4). The vast majority of the company's programs is funded by the base budget request or export sales. A signficant part of the weapons portfolio, has exposure to reconciliation. This funding is needed for restocking depleted munitions inventories due to the war in Iran.The questions are about how this gets funded, particularly as we move throught the midterm elections next week. Normally, Democrats have been just as supportive of defense as Republicans. But, with the war in Iran extremely unpopular and the national debt over $40 tn, we expect less willingness to go forward with the enitrety of the President's request.

We have lowered our multiples because of the budget situation. But, if we can get through to a rational discussion of defense needs post-election, there could be significant upside for Northrop Grumman and other defense stocks.

EXHIBIT 4: **NOC key program exposure to US defense budget**

Key Program Area	Role on Program	2026 % of Total Company Sales[1,2]	FY27 U.S. Base Budget Request[3]
National Space Security	Mix	>15%	
B-21	Prime	~10%	
F-35 (Center Fuselage / Sensors / Comms)	Sub	~10%	
Weapons Portfolio	Mix	~8%	
Sentinel	Prime	~7%	
E-2D	Prime	~4%	
Autonomous ISR (Triton / Global Hawk)	Prime	~4%	
Marine Programs	Sub	~3%	
EW Systems (SEWIP / IVEWS / IRCM)	Mix	~3%	
TACAMO	Prime	~2%	
IBCS	Prime	~2%	



Source: Company reports

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KEY THEMES FROM Q3

Aeronautics Systems - High growth with B-21, supported by F-35 and TACAMO

Aeronautics reported revenue of $3.58bn, ~$182mn above consensus. Aeronautics sales were up +14% year-over-year, primarily due to a $195m increase on F-35 driven by the timing of material costs on production lots and higher sustainment level. Higher B-21 sales and increase in B-2 sustainment level also contributed to this beat. Book-to-bill was 130% in Q3. Operating margin was 10.5%, above consensus estimate, supported by strong performance of mature programs and sustainment programs. The margin outlook for 2026 was raised from mid to high ~9% to high ~9% on the back of strong 9M26 performance.

B-21 accounts for nearly 10% of company revenue. With NOC finalizing an agreement with the U.S. Air Force to expand production capacity for the B-21, we expect revenue associated with the accelerated build rate to lag capital expenditures. NOC expects to invest $2.5bn over a multi-year period to support the accelerated build rate, with the majority of spending occurring over the 2027–2028 timeframe. We expect incremental revenue from the B-21 agreement to begin flowing through the top line from 2028 onwards. We estimate the program should benefit from DD% growth from 2028 through 2030, reaching roughly $8bn in 2030 revenues. Today, the TACAMO program is contributing a couple of hundred million dollars of growth annually as it scales through its development phase, with a transition to production expected in a two to three years. Funding, however, is fairly flat for TACAMO. The F-35 program represents roughly 7% of the group's sales, we expect this program to deliver low to mid-single digit growth.

During Q3, NOC lost the award for the U.S. Navy's sixth generation fighter program (F/A-XX) to Boeing. We believed that this $20bn award (ultimately likely greater than a $100bn program) could have gone either way. Northrop Grumman says that it will review the reasons for the decision, which will determine if there will be a protest. We raise our Aeronautics outlook from 2027 through 2030, driven by a better outlook for B-21, stronger F-35, solid E-2D and support from ramps on TACAMO and other programs (e.g., RQ-180).

Defense Systems - Solid rocket motor demand and sentinel ramp-up drive growth

Defense Systems reported revenue of $2.3bn, above consensus expectations. Revenue was up 12% YoY, due to a $180m increase on Sentinel, higher volume on GMLRS ER and higher volume of solid rocket motors. Operating margin was 10.8%, in line with consensus, but down -60bps YoY primarily due to changes in contract mix toward more cost type programs.

Defense Systems is well positioned given strong global demand for solid rocket motors, smart munitions, ammunition, and tactical missiles. The contracts to raise missile production rates at RTX and LMT are positive for NOC's solid rocket motor business. The company is a key SRM supplier on more than 15 systems, including GMLRS, PrSM, Hellfire, and AIM-9X, and is taking steps to qualify as a second source supplier for high demand interceptors such as PAC-3. NOC is significantly expanding its tactical solid rocket motor manufacturing capabilities, having doubled capacity at its West Virginia facility since 2021 and investing to increase capacity by an additional 50% by early 2027. Similar investments are being made at the Maryland facility, where capacity is expected to triple by 2030. The weapons portfolio, which represents ~10% of NOC revenue, sits within Defense Systems and is one of the fastest growing areas of the business. This comprises the ammunition, tactical solid rocket motors, high performance gun systems, advanced fuzes and weapons integration (SiAW, AARGM-ER).

During 3Q26, Northrop Grumman announced more than $3bn of framework agreements supporting accelerated interceptor production. The agreements include approximately $2bn supporting PAC-3 MSE solid rocket motor production and roughly $1bn supporting increased THAAD component output over the next seven years. The company highlighted ongoing capacity investments across facilities in Utah, Maryland and West Virginia. The company also secured a potential $508m Missile Defense Agency contract supporting ballistic-missile target integration, test and logistics activities through 2035. In munitions, NOC received an $863m Army contract supporting production of M1156 Precision Guidance Kits, reinforcing continued growth in precision-fire demand. Lastly, at a conference, management disclosed active discussions covering approximately ten missile and munitions framework agreements spanning solid rocket motors, seekers, nozzles, cases and fuzes, suggesting additional opportunities beyond the agreements already announced during the quarter.

On Sentinel, NOC has built all components of the missile and tested them individually. In the quarter, NOC completed the first full vertical assembly of an inert missile at Vandenberg Space Force Base and gained approval from the US Air Force on Sentinel design maturity for first flight to proceed in 2027. The program was described as now well set on its new timeline. That timeline

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had been pushed out by the Air Force for IOC because of issues related to silo construction. That timeline has been brought back in modestly and was said to be well on track from an NOC standpoint.

We increase our Defense outlook from 2027 through 2030, driven by a better outlook for solid rocket motors and Sentinel.

Mission Systems - High margins, waiting for growth to accelerate

Mission Systems revenue increased by 2% in Q3 to $3.15bn, below consensus, due to higher volume on marine systems programs and volume. This was partially offset by lower volume on restricted advanced microelectronics programs. Operating margin came in at 15.8%, above consensus estimate of 14.8%. Operating profit was down -3% YoY, driven by lower operating margin rate. Margins outlook for 2026 has been upgraded from ~15% to mid ~15% on the back of strong Q3.

For 2026, MS sales are expected to reach the high-$12bn range, implying that growth will slow to the low single digit range before returning to mid-single digit growth in 2027. Growth is expected to be underpinned by the modernization of fourth and fifth generation aircraft fleets, sustained demand for mission-critical microelectronics, and from systems used across naval platforms. Over the longer term, we expect Mission Systems to grow at a mid-single digit range.

Space Systems - Restricted Programs and Golden Dome Drive Growth

Space Systems revenue was reported at $2.75bn, below consensus. Revenue was up 2% YoY, due to ramp up of programs in the restricted space portfolio, offset by $136 million of lower sales on CRS missions due to launch timing. Operating margin was 11.3%, above consensus estimate of 8.4% largely to changes in contract mix toward more fixed-price content.

For Space, growth is expected to be driven by the SDA Tracking Layer, GEM 63 solid rocket boosters, and programs within the restricted portfolio. We anticipate Space Systems revenue will exceed the $11bn guidance for 2026. Over the longer term, management sees additional upside from Golden Dome, underpinned by demand for missile tracking and warning capabilities, space-based interceptors, and next-generation polar architectures.

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 5: **NOC Annual Income Statement**

Northrop Grumman Annual Income Statement ($mil)

Fiscal Year Ending December 31,	2025	2026E	2027E	2028E	2029E	2030E
Revenues						
Aeronautics Systems	$ 12,992	$ 14,456	$ 15,150	$ 16,013	$ 17,150	$ 18,608
Defense Systems	8,002	8,729	9,489	10,201	11,057	11,953
Mission Systems	12,506	12,860	13,657	14,422	15,100	15,779
Space Systems	10,771	11,070	11,800	12,508	13,146	13,804
Eliminations	-2,317	-2,731	-2,549	-2,661	-2,808	-2,991
Total Revenues	**$ 41,954**	**$ 44,384**	**$ 47,547**	**$ 50,483**	**$ 53,646**	**$ 57,153**
Operating Income/<Loss>						
Aeronautics Systems	813	1,440	1,454	1,553	1,698	1,851
Defense Systems	871	845	1,015	1,071	1,150	1,231
Mission Systems	1,827	1,973	2,035	2,163	2,280	2,391
Space Systems	1,183	1,132	1,310	1,401	1,486	1,560
Eliminations	-317	-371	-347	-363	-384	-409
Total Segment Operating Income	**4,377**	**5,019**	**5,467**	**5,826**	**6,229**	**6,624**
Unallocated corporate expense	(124)	(363)	(357)	(353)	(376)	(400)
Pension (expense) income	(217)	(210)	(195)	(180)	(185)	(185)
Reversal of CAS pension expense above	475	245	90	60	70	70
Total Operating Income	**$ 4,511**	**$ 4,691**	**$ 5,006**	**$ 5,352**	**$ 5,739**	**$ 6,109**
Operating margin	10.8%	10.6%	10.5%	10.6%	10.7%	10.7%
Interest expense	(665)	(639)	(637)	(636)	(636)	(636)
Net FAS (non-service) pension adj.	541	665	685	701	718	737
Mark-to-market pension and OPEB	527	-	-	-	-	-
Other, net	154	172	157	164	168	175
Income from continuing ops before taxes	**5,068**	**4,890**	**5,211**	**5,580**	**5,989**	**6,385**
Taxes	(886)	(636)	(855)	(960)	(1,030)	(1,098)
Net income, as reported	**$ 4,182**	**$ 4,254**	**$ 4,356**	**$ 4,621**	**$ 4,959**	**$ 5,286**
Net margin	10.0%	9.6%	9.2%	9.2%	9.2%	9.2%
Net income, as reported (GAAP)	4,182	4,254	4,356	4,621	4,959	5,286
Pension MTM benefit (expense)	527	-	-	-	-	-
Tax benefit (expense) of MTM	(133)	-	-	-	-	-
After-tax MTM adjustment	394	-	-	-	-	-
MTM-adjusted net income	**$ 3,788**	**$ 4,254**	**$ 4,356**	**$ 4,621**	**$ 4,959**	**$ 5,286**
Fully Diluted Shares Outstanding	143.8	142.5	142.6	142.7	142.8	143.0
GAAP EPS- Continuing Operations	$ 29.08	$ 29.86	$ 30.54	$ 32.37	$ 34.72	$ 36.98
Adjusted EPS - Continuing Operations	$ 26.34	$ 29.86	$ 30.54	$ 32.37	$ 34.72	$ 36.98
GAAP EPS- Reported	$ 29.08	$ 29.86	$ 30.54	$ 32.37	$ 34.72	$ 36.98
EPS - cont. ops. excl. FAS/CAS and MTM	$ 21.95	$ 25.98	$ 27.33	$ 29.16	$ 31.38	$ 33.54
EBITDA	$ 5,983	$ 6,196	$ 6,617	$ 7,032	$ 7,496	$ 7,932
EBITDAP	$ 5,725	$ 6,161	$ 6,722	$ 7,152	$ 7,611	$ 8,047
Segment operating margins						
Aeronautics Systems	6.3%	10.0%	9.6%	9.7%	9.9%	10.0%
Defense Systems	10.9%	9.7%	10.7%	10.5%	10.4%	10.3%
Mission Systems	14.6%	15.3%	14.9%	15.0%	15.1%	15.2%
Space Systems	11.0%	10.2%	11.1%	11.2%	11.3%	11.3%
Segments	10.4%	11.3%	11.5%	11.5%	11.6%	11.6%

Source: Company reports, Bernstein analysis and estimates

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EXHIBIT 6: **NOC Quarterly Income Statement**

Northrop Grumman Quarterly Income Statement ($mil)

Fiscal Year Ending December 31,	2024					2025					2026E
	12 mos	Q1	Q2	Q3	Q4	12 mos	Q1	Q2E	Q3E	Q4E	12 mos
Revenues											
Aeronautics Systems	$ 12,396	$ 2,814	$ 3,114	$ 3,142	$ 3,922	$ 12,992	$ 3,283	$ 3,519	$ 3,575	$ 4,079	$ 14,456
Defense Systems	7,399	1805	1991	2059	2147	8,002	1899	2093	2307	2430	8,729
Mission Systems	11,399	2807	3157	3093	3449	12,506	2861	3250	3155	3594	12,860
Space Systems	11,731	2568	2646	2698	2859	10,771	2480	2753	2749	3088	11,070
Eliminations	(1,892)	(526)	(557)	(569)	(665)	(2,317)	(642)	(739)	(664)	(686)	(2,731)
Total Revenues	**$ 41,033**	**$ 9,468**	**$ 10,351**	**$ 10,423**	**$ 11,712**	**$ 41,954**	**$ 9,881**	**$ 10,876**	**$ 11,122**	**$ 12,505**	**$ 44,384**
Operating Income/<Loss>											
Aeronautics Systems	1,236	-183	321	305	370	813	305	362	377	396	1,440
Defense Systems	716	179	253	234	205	871	184	156	250	255	845
Mission Systems	1,598	361	441	515	510	1,827	433	501	500	539	1,973
Space Systems	1,254	283	280	298	322	1,183	235	236	312	349	1,132
Eliminations	(260)	(72)	(76)	(75)	(94)	(317)	(85)	(97)	(94)	(95)	(371)
Total Segment Operating Income	**4,544**	**568**	**1,219**	**1,277**	**1,313**	**4,377**	**1,072**	**1,158**	**1,345**	**1,444**	**5,019**
Unallocated corporate expense	(214)	(58)	143	(102)	(107)	(124)	(90)	(69)	(91)	(113)	(363)
Pension (expense) income	(239)	(54)	(54)	(55)	(54)	(217)	(53)	(53)	(53)	(51)	(210)
Reversal of CAS pension expense	279	117	117	122	119	475	60	60	68	57	245
Total Operating Income	**$ 4,370**	**$ 573**	**$ 1,425**	**$ 1,242**	**$ 1,271**	**$ 4,511**	**$ 989**	**$ 1,096**	**$ 1,269**	**$ 1,337**	**$ 4,691**
Interest expense	(621)	(156)	(173)	(161)	(175)	(665)	(162)	(161)	(158)	(158)	(639)
Net FAS (non-service) pension adj.	656	130	137	136	138	541	166	166	167	166	665
MTM (expense) benefit	443	-	-	-	527	527	-	-	-	-	-
Other, net	168	31	38	106	(21)	154	37	67	20	48	172
Income, cont. ops. before inc taxes	**5,016**	**578**	**1,427**	**1,323**	**1,740**	**5,068**	**1,030**	**1,168**	**1,298**	**1,394**	**4,890**
Taxes	(842)	(97)	(253)	(223)	(313)	(886)	(155)	(74)	(174)	(233)	(636)
Net income	**$ 4,174**	**$ 481**	**$ 1,174**	**$ 1,100**	**$ 1,427**	**$ 4,182**	**$ 875**	**$ 1,094**	**$ 1,124**	**$ 1,161**	**$ 4,254**
Net income, as reported (GAAP)	4,174	481	1,174	1,100	1,427	4,182	875	1,094	1,124	1,161	4,254
Pension MTM benefit (expense)	443	-	-	-	527	527	-	-	-	-	-
Tax benefit (expense) of MTM	(111)				(133)	(133)					-
After-tax MTM adjustment	332	-	-	-	394	394	-	-	-	-	-
MTM-adjusted net income	**3,842**	**481**	**1,174**	**1,100**	**1,033**	**3,788**	**875**	**1,094**	**1,124**	**1,161**	**4,254**
Fully Diluted Shares Outstanding	147.3	144.9	144.0	143.5	142.9	143.8	142.5	142.4	142.4	142.6	142.5
GAAP EPS- Continuing Operations	**$ 28.34**	**$ 3.32**	**$ 8.15**	**$ 7.67**	**$ 9.99**	**$ 29.08**	**$ 6.14**	**$ 7.68**	**$ 7.89**	**$ 8.14**	**$ 29.86**
Adj. EPS (excl. MTM)	**$ 26.08**	**$ 3.32**	**$ 8.15**	**$ 7.67**	**$ 7.23**	**$ 26.34**	**$ 6.14**	**$ 7.68**	**$ 7.89**	**$ 8.14**	**$ 29.86**
Margins											
Aeronautics Systems	10.0%	-6.5%	10.3%	9.7%	9.4%	6.3%	9.3%	10.3%	10.5%	9.7%	10.0%
Defense Systems	9.7%	9.9%	12.7%	11.4%	9.5%	10.9%	9.7%	7.5%	10.8%	10.5%	9.7%
Mission Systems	14.0%	12.9%	14.0%	16.7%	14.8%	14.6%	15.1%	15.4%	15.8%	15.0%	15.3%
Space Systems	10.7%	11.0%	10.6%	11.0%	11.3%	11.0%	9.5%	8.6%	11.3%	11.3%	10.2%
Segments	11.1%	6.0%	11.8%	12.3%	11.2%	10.4%	10.8%	10.6%	12.1%	11.5%	11.3%
Operating	10.6%	6.1%	13.8%	11.9%	10.9%	10.8%	10.0%	10.1%	11.4%	10.7%	10.6%

Source: Company reports, Bernstein analysis and estimates

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EXHIBIT 7: **NOC Balance Sheet**

Northrop Grumman Balance Sheet ($mil)

Fiscal Year Ending December 31,	2025	2026 E	2027 E	2028 E	2029 E	2030 E
Cash and cash equivalents	$ 4,403	$ 5,563	$ 7,588	$ 9,189	$ 11,342	$ 13,885
Accounts receivable net of progress payments	1,375	1,677	1,796	1,907	2,026	2,159
Unbilled receivables	6,544	7,418	7,859	8,345	8,867	9,447
Inventories net of progress payments	1,309	1,398	1,487	1,582	1,680	1,790
Prepaid expenses and other current assets	1,656	1,910	2,127	2,253	2,426	2,575
Total Current Assets	**15,287**	**17,965**	**20,858**	**23,276**	**26,341**	**29,855**
Property, plant and equipment, net	$ 10,972	$ 11,161	$ 11,693	$ 12,291	$ 12,585	$ 12,703
Goodwill	17,437	17,440	17,440	17,440	17,440	17,440
Deferred income taxes	1,051	488	488	488	488	488
Miscellaneous other assets	6,630	6,916	6,951	6,961	6,963	6,963
Total Non- Current Assets	**36,090**	**36,005**	**36,573**	**37,179**	**37,476**	**37,594**
Total Assets	**$ 51,377**	**$ 53,970**	**$ 57,430**	**$ 60,455**	**$ 63,817**	**$ 67,449**
Trade accounts payable	3,240	3,435	3,681	3,905	4,145	4,417
Accrued employees' compensation	2,309	2,448	2,623	2,806	3,002	3,224
Advances on contracts	4,086	3,995	4,755	5,074	5,418	5,772
Other current liabilities	4,247	4,620	4,670	4,670	4,830	5,100
Total Current Liabilities	**13,882**	**14,497**	**15,729**	**16,455**	**17,396**	**18,514**
Long term debt	$ 15,162	$ 14,433	$ 14,433	$ 14,433	$ 14,433	$ 14,433
Accrued retiree benefits	1,110	989	599	175	(265)	(727)
Other long term liabilities	4,549	4,593	4,562	4,536	4,484	4,417
Total Non-Current Liabilities	**20,821**	**20,015**	**19,594**	**19,144**	**18,651**	**18,123**
Total Liabilities	**$ 34,703**	**$ 34,512**	**$ 35,323**	**$ 35,599**	**$ 36,048**	**$ 36,636**
Shareholders' Equity:						
Paid in capital - common stock	$ 142	$ 205	$ 205	$ 205	$ 205	$ 205
Retained earnings	16,658	19,415	22,226	25,135	28,209	31,413
Accumulated other comprehensive earnings (losses)	(126)	(162)	(323)	(484)	(644)	(805)
Total Shareholders' Equity	**16,674**	**19,458**	**22,107**	**24,856**	**27,769**	**30,813**
Total Liabilities and Shareholders' Equity	**$ 51,377**	**$ 53,970**	**$ 57,430**	**$ 60,455**	**$ 63,817**	**$ 67,449**

Source: Company reports, Bernstein analysis and estimates

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EXHIBIT 8: **NOC Cash Flow Statement**

Northrop Grumman Statement of Cash Flows ($mil)						
Fiscal Year Ending December 31,	**2025**	**2026 E**	**2027 E**	**2028 E**	**2029 E**	**2030 E**
Cash Flows from Operating Activities:						
Net Income	$ 4,182	$ 4,254	$ 4,356	$ 4,621	$ 4,959	$ 5,286
Adjustments to reconcile with operating cash						
Depreciation	1,472	1,505	1,611	1,680	1,757	1,823
Common stock issued to employees	119	108	130	133	144	153
Decrease (Increase) in						
Accounts receivable	(108)	(302)	(119)	(111)	(119)	(132)
Unbilled receivables	(754)	(696)	(442)	(485)	(523)	(580)
Inventories	97	(102)	(90)	(95)	(98)	(110)
Prepaid expenses and other current assets	8	38	(217)	(126)	(173)	(149)
Increase (Decrease) in						
Accounts payable and accruals	646	(356)	1,182	725	781	848
Deferred income taxes	548	651	-	-	-	-
Income taxes payable	(559)	(125)	-	-	-	-
Retiree benefits	(1,003)	(570)	(551)	(585)	(601)	(623)
Other noncash transactions	340	298	(48)	(60)	54	136
Net Cash Provided (Used) by Operating Activities	**4,757**	**4,704**	**5,812**	**5,697**	**6,181**	**6,652**
Cash Flows Provided (Used) by Investing Activities:						
Proceeds from sale of businesses, net of cash divested	-	107	-	-	-	-
Additions to PP&E (net additions in forecast)	(1,450)	(1,862)	(2,143)	(2,277)	(2,051)	(1,941)
Other investing activities	(38)	(17)	-	-	-	-
Net Cash Provided (Used) by Investing Activities	**(1,155)**	**(1,401)**	**(2,143)**	**(2,277)**	**(2,051)**	**(1,941)**
Cash Flows Provided (Used) by Financing Activities:						
Principal payments of long term debt/capital leases	(1,500)	(527)	-	-	-	-
Common stock repurchases	(1,624)	(68)	-	-	-	-
Proceeds from issuance of long-term debt	998	-	-	-	-	-
Common stock dividends	(1,293)	(1,424)	(1,675)	(1,844)	(2,030)	(2,235)
Other financing activities	(133)	(125)	31	26	52	67
Net Cash Flows Provided (Used) by Financing Activities:	**(3,552)**	**(2,144)**	**(1,645)**	**(1,818)**	**(1,978)**	**(2,168)**
Net Increase (Decrease) in Cash and Cash Equivalents	**50**	**1,159**	**2,025**	**1,602**	**2,153**	**2,543**
Cash and Cash Equivalents, beg. of period	**4,353**	**4,403**	**5,562**	**7,587**	**9,188**	**11,341**
Cash and Cash Equivalents, end of period	**$ 4,403**	**$ 5,562**	**$ 7,587**	**$ 9,188**	**$ 11,341**	**$ 13,884**
Change in Working Capital	**1,209**	**903**	**(364)**	**91**	**(29)**	**(146)**
Free Cash Flow	**3,307**	**3,320**	**3,669**	**3,420**	**4,130**	**4,711**

Source: Company reports, Bernstein analysis and estimates

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BERNSTEIN TICKER TABLE

			26 Oct 2026		TTM	Reported EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
NOC (Northrop Grumman)	M	USD	565.41	**590.00**	(19.8)%	USD	29.08	**29.86**	**30.54**	21.5	18.9	18.5
OLD				556.00				29.05	30.67			
SPX			7,623.68									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Northrop Grumman Corp

We value all of our aerospace and defense companies by using a terminal EV/EBITDAP multiple four years forward, adjusted for pension. We discount the valuation back and add-in discounted cash returned to shareholders over that time period to reach our one-year target. For NOC, we use a relative EV/EBITDAP multiple of 80% on a 16x market multiple, which leads to our price target of $590.

RISKS

Northrop Grumman Corp

For NOC, principal downside risks to our rating and price target are program execution and changes in defense funding levels. There are also downside risks associated with inflation and long-term contracts for the B-21. Upside risks include if we see significant progress on DoD budget increases or better than expected inflation adjustments on the B-21.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Bernstein brand stock ratings are based on a 12-month time horizon.

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- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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Autonomous brand – preferred stocks

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- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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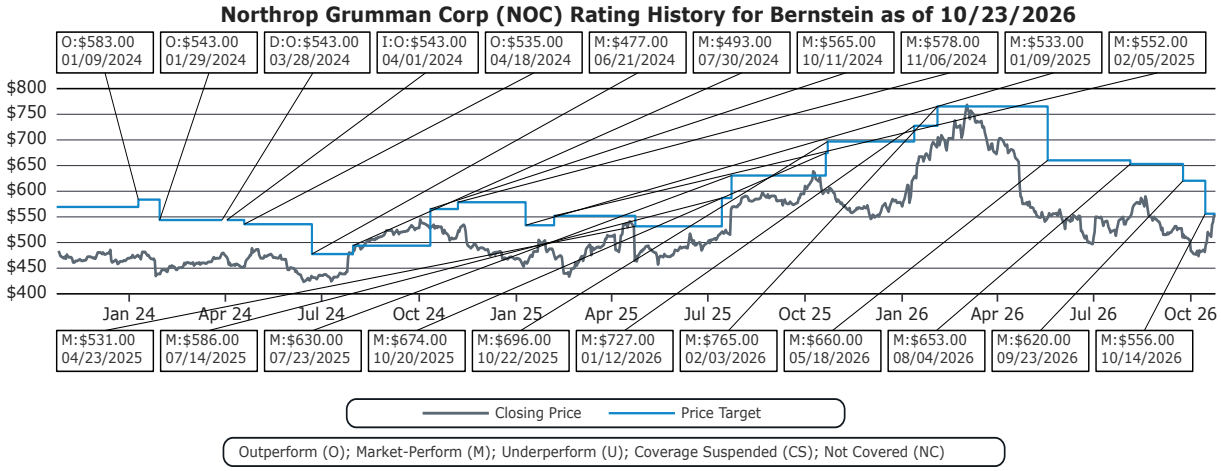
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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